NVIDIA Corporation

NVDA NASDAQ

Buy	$208.26 ▼ 1.79%	12M Price Target **$245.00**	52-Week Range $164.07 – $236.54	Market Cap $5.04T

NVDA: AMD-Anthropic Deal Rattles, But Thesis Intact

WHAT HAPPENED

- Stock dropped 1.8% and the story is the Anthropic-AMD chip deal that hit the tape yesterday evening. Translation: Anthropic (one of the big AI model makers) is buying serious quantities of AMD chips, which spooks people because NVDA has basically had a monopoly on high-end AI training chips. Market's asking "is the moat cracking?"
- Volume today is way lighter than the past few sessions (28M vs 137M yesterday) — that tells me this isn't panic selling, it's just profit-taking after a nice run from $203 to $212. The heavy put buying at $207.50 strike suggests some traders are hedging into next week rather than dumping.

WHY IT MATTERS

Here's what I think is really going on: the AMD deal is a headline scare, not a thesis-breaker. Anthropic diversifying suppliers is inevitable — every hyperscaler wants a second source so NVDA doesn't have them by the throat on pricing. But the total AI compute pie is growing so fast that AMD taking a slice doesn't shrink NVDA's slice, it just means AMD gets some of the NEW demand. The 24/7 Wall St piece nailed it — this isn't zero-sum. What matters more: NVDA's Q2 earnings drop in late August, and if hyperscaler capex commentary from Microsoft/Meta/Google stays strong (they've all been raising capex guidance), the AMD news becomes a footnote.

POLICY & POLITICAL WATCH

Two things to watch right now: First, the Trump administration's export license framework for selling H20 and downgraded chips to China — that got loosened earlier this year and NVDA is collecting billions in revenue that Wall Street had already written off. Any reversal would hurt, any expansion is upside. Second, the CHIPS Act 2.0 discussions in Congress about extending domestic semiconductor incentives — NVDA doesn't manufacture (TSMC does), but any policy pushing US-based AI infrastructure buildout is a direct demand tailwind. The AI Diffusion Rule from the prior administration was rolled back, which was a quiet but massive win for NVDA's international sales.

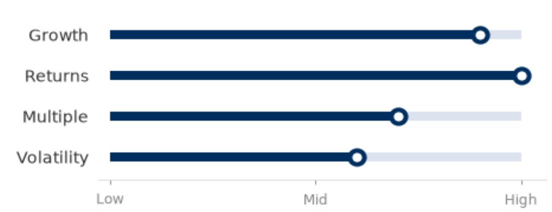
IS IT EXPENSIVE?

At $208, NVDA trades around 43x forward earnings — meaning you're paying $43 for every $1 the company is expected to earn next year. That sounds expensive, but revenue is still growing 40%+ and gross margins are near 75% (they keep 75 cents of every dollar in sales before other costs). Compared to AMD at ~35x with slower growth and thinner margins, NVDA is actually reasonably priced for what you get — the premium is earned, not hype.

WHAT COULD GO WRONG

Key Data	
Price (USD)	**$208.26**
12M Price Target	**$245.00**
Upside / (Downside)	**+17.6%**
Market Cap	**$5.04T**
FY2026E Revenue	**$205M**
FY2027E Revenue	**$265M**
FY2026E EPS	**$4.85**
FY2027E EPS	**$6.40**
Fwd P/E	**42.9x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500

This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

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PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$225.00**	$215.00	**$195.00**
6 Months	**$260.00**	$235.00	**$180.00**
1 Year	**$300.00**	$245.00	**$170.00**
2 Years	**$380.00**	$290.00	**$160.00**
5 Years	**$550.00**	$400.00	**$180.00**
10 Years	**$900.00**	$600.00	**$220.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+1.9% today, +5.8% this week) and Industrials — both benefiting from the AI infrastructure buildout theme (data centers need massive power and physical construction). Policy tailwind: the administration's push for domestic energy production and grid expansion.

COOLING OFF: Tech is down 0.5% today — some rotation OUT of mega-cap tech into cyclicals. Not a crash, just profit-taking after a strong run.

ROTATION WATCH: Money is quietly moving from pure-play AI chips into the "picks and shovels around AI" — power companies, industrial cooling, data center REITs. This is a rotation WITHIN the AI theme, not away from it.

RELATED PLAY: If you like NVDA, look at the AI power play — Vistra (VST), Constellation (CEG), or Eaton (ETN). Same tailwind, less crowded trade.

WHO'S WINNING IN THIS SPACE?

- AMD (Advanced Micro Devices): Anthropic deal validates them as the credible #2 in AI chips — stock likely popping on the news.
- AVGO (Broadcom): Winning the custom silicon race with hyperscalers, plus networking chips for AI clusters.

NVDA CONTEXT: NVDA is lagging today but still up massively year-over-year and near the top of its 52-week range (61%). This isn't weakness — it's consolidation. When the leader takes a breather while peers catch a bid on specific news, that's healthy rotation, not a trend break.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

CONVICTION: 8/10 — I'm still bullish, the AMD headline doesn't change the structural story, and earnings are the next catalyst.

POSITION SIZE: 5-8% of portfolio — this can be a core holding, not a trade. It's volatile but the business quality justifies real exposure.

ENTRY POINTS: I'd add on any pullback to $195-205. If we get a market-wide risk-off day and it hits $185, that's a gift.

TIME HORIZON: 12-24 months — the catalyst I'm waiting for is the Rubin chip ramp in 2026 and continued hyperscaler capex commitments through 2027.

WHEN TO BAIL: If any two of the big four hyperscalers guide capex DOWN, or if China licenses get fully revoked, or if gross margins drop below 70%, I'm trimming hard.

HEDGING: Simplest hedge — buy a small position in an inverse semis ETF (SOXS) or just keep 10-15% of your NVDA position size in cash so you can average down if it dumps. Don't overthink it.

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